

OPEN INTEREST — THE SHOPKEEPER VERSION 🧠 📊

First, forget charts, indicators, and fancy terms for a moment.

1 What is Open Interest (OI) in one line?

Open Interest = Number of open contracts where two people are still holding a position.

One buyer + one seller = 1 Open Interest

No exit yet. No profit booked. No loss accepted.
Both are still emotionally and financially committed.

So OI is not about price.
OI is about commitment.

2 Why price alone is incomplete

Price tells you what happened.
Open Interest tells you who is stuck, confident, or uncomfortable.

This is exactly like the market:

Price = Noise on the road

OI = Traffic jam behind the scene

A trader who looks only at price is like watching cars pass by
A trader who reads OI knows where people are stuck and why

3 The Shopkeeper Story (Applied to OI)

Imagine a shopkeeper selling umbrellas.

Scenario A:

Rain starts

People rush to buy umbrellas

Shopkeeper increases price

Still people buy

👉 Price $\uparrow$ + OI $\uparrow$

Meaning:

New buyers are entering confidently.

Fresh money is coming in.

Trend has acceptance.

This is called Long Buildup (but don't memorize the term, understand the behavior).

Scenario B:

Rain stops

People who bought umbrellas start returning them

Shopkeeper reduces stock pressure

Fewer people inside the shop

👉 Price $\downarrow$ + OI $\downarrow$

Meaning:

Old positions are closing.

Commitment is reducing.

Trend is ending, not reversing aggressively.

This is Long Unwinding.

Scenario C:

Shopkeeper increases umbrella price

Very few buyers enter

Some customers quietly leave

👉 Price $\uparrow$ + OI $\downarrow$

Meaning:

Price is going up, but commitment is going down.

Those who were inside are exiting smartly.

This is Short Covering — rally driven by fear, not confidence.

⚠️ These rallies are fast but weak.

They look strong, but don't last.

Scenario 🤔

No rain

Shopkeeper cuts price

Still nobody wants umbrellas

More people leave the shop

👉 Price ↓ + OI ↑

Meaning:

New sellers are entering confidently.

They believe price will fall more.

This is Short Buildup — strong bearish intention.

4 OI is not predicting — it is revealing

OI never says:

❌ Buy here

❌ Sell here

OI only says:

✓ Who is entering

✓ Who is trapped

✓ Who is confident

✓ Who is nervous

Just like body language in humans.

5 The Win Rate Connection 🎯

Remember what I told you about win rate?

You don't need to win every trade.

You need probability in your favor.

OI helps you avoid low-probability trades.

Example:

Price breaks resistance

Everyone gets excited

But OI is falling

That breakout is emotion-driven, not money-driven.

A trader with OI knowledge says:

“Let others celebrate. I’ll wait.”

That waiting improves win rate more than any indicator.

6 3PP + OI = Decision Clarity

Let’s connect it with 3PP:

Price: Where is the market?

Pattern / Positioning: Who is likely in pain?

Patience: Can I wait for confirmation?

OI fits into Positioning.

If OI supports price move → trade has strength

If OI contradicts price move → trade needs caution

Simple.

7 Common Beginner Mistake ❌

Thinking:

“OI increased, so price will move now”

No.

Sometimes OI increases because:

Both sides are confident

Market is building energy

Explosion happens later

OI is like compressed spring, not the jump itself.

8 Why I taught this AFTER psychology

Because without mindset, OI becomes another weapon to self-harm.

You’ll over-analyze.

You'll trade every OI change.
You'll lose patience.

That's why:

First discipline

Then logic

Then tools

Not the other way around.

9 Final Truth

Open Interest is the X-ray of the market.
You don't trade X-rays — you interpret them.

Read it daily.
Observe it silently.
Don't rush to act.

When price, structure, and OI start telling the same story,
you won't feel excitement...

You'll feel calm.

And calm traders survive.
Excited traders donate.

Read this again tomorrow before market open.
Understanding will compound.

~ToT